

Reading a Loss Run, Quick Reference

What to look for, what to ignore, what to ask about.

The shape, not the sum

The total dollars at the bottom of a loss run is the worst place to start. Read the chronology. Frequency vs severity tells the underwriter more than total cost.

Frequency = how often. Eight \$10k claims signals operational habits; training gaps, unsafe sites, undocumented procedures.

Severity = how big. One \$80k claim is a bad year, often a one-off. Easier to underwrite around than frequency.

The four columns that matter

COLUMN	WHAT IT MEANS
Incurred	Total expected cost = paid + reserved. The carrier's view.
Paid	What's been disbursed so far. Doesn't include what's still expected.
Reserved	What the carrier expects to still pay. The underwriter's worry line.
Status	Open or closed. Open claims with high reserves cost the most at renewal.

The questions to ask before submitting

- What changed after each loss? Document mitigation in the cover letter.
- Why did each claim happen? Operational explanation goes in the narrative.
- Are any losses subrogated, or have recovery actions been taken?
- Are deductibles and self-insured retentions clearly broken out?
- Does the loss run include any first-aid-only or report-only items not yet claims?
- If the cycle is mid-policy, does the data go through a logical month-end?

What loss runs do not tell you

- **What changed.** Loss runs show what happened, not what's been done about it.
- **Why.** The narrative behind each claim. That's the cover-letter's job.
- **Recovery.** Subrogation and salvage often don't show cleanly.
- **Reserves history.** A claim opened at \$50k that's closed for \$5k tells a story the report won't.

The five-year rule

Most carriers ask for five years of loss runs because that's the actuarial window where patterns become visible. For a quick read, three years is enough to spot trouble. If a book has zero claims in years 1 and 2, then four claims in year 3, something changed in year 3. Find out what.